iHatch

Startup Incubation Programme

Course: Business Modeling 4

Cohort	3rd Cohort North-East
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Week 4: Problem Solution Fit (PSF)

Objective

1. Understand the Problem Solution Fit (PSF) that matches the problems and the solution.
2. Develop the solutions/prototype to solve the problems
3. Verify that the prototype can solve the problem through interaction with the customer
4. Brush-up the proto-type with the feedback of customers

AM

- Introduction of Must-to-Have and Nice-to-Have
- Solution Interview
- Development of Elevator Pitch
- Product Interview

PM

- Assumption of Must-have function
- Development of Elevator pitch
- Development of “Questions” to potential customers

Activity:

- Interview with potential customers
- Facilitators follows up

Week 4: Problem Solution Fit (PSF) - Building Solutions that Resonate

Objective:

Week 4 of the iHatch Incubation Program focuses on achieving a Problem Solution Fit (PSF) by aligning identified problems with effective solutions. The primary objectives include understanding the dynamics of PSF, developing prototypes to address problems, verifying solutions through customer interaction, and refining prototypes based on customer feedback.

Morning Session (AM):

1. Introduction of Must-to-Have and Nice-to-Have:

- Start the day by distinguishing between essential features (Must-to-Have) and additional, desirable features (Nice-to-Have) in a solution. Emphasize prioritizing must-have elements for a focused and impactful prototype.

2. Solution Interview:

- Dive into the intricacies of conducting a Solution Interview. Train startups on effective techniques to extract valuable insights from potential customers regarding the proposed solutions. Encourage active listening and open-ended questioning.

3. Development of Elevator Pitch:

- Guide startups in crafting compelling Elevator Pitches that succinctly communicate their solutions. Emphasize the importance of clarity, brevity, and capturing attention within a short timeframe.

4. Product Interview:

- Introduce the concept of a Product Interview, focusing on testing the prototype with potential customers. Provide guidance on structuring these interviews to extract meaningful feedback on the functionality, usability, and overall impact of the proposed solutions.

Afternoon Session (PM):

5. Assumption of Must-Have Function:

- Discuss assumptions related to must-have functions within the developed prototypes. Encourage startups to critically assess these assumptions and validate them through customer interactions.

6. Development of Elevator Pitch (Refinement):

- Allow startups the opportunity to refine their Elevator Pitches based on insights gained during the morning session. Emphasize iterative improvements and the importance of a compelling narrative.

7. Development of "Questions" to Potential Customers:

- Assist startups in formulating targeted and insightful questions for their interactions with potential customers. These questions should aim to extract specific feedback and uncover hidden needs or preferences.

Activity:

- Interviews with Potential Customers:
    - Initiate practical activities where startups conduct interviews with potential customers to test their prototypes. Encourage startups to actively apply the techniques learned in Solution Interviews and Product Interviews.
- Incubation Manager Follow-Up:
    - The incubation manager plays a crucial role in following up with startups during and after the interviews. This ensures that any challenges or additional support needs are promptly addressed.

Continuous Improvement:

As the startups progress through the PSF phase, emphasize the iterative nature of solution development. Continuous refinement based on customer feedback is integral to achieving a strong Problem Solution Fit. Encourage startups to view customer interactions as learning opportunities and to adapt their solutions accordingly.

Objective 1:

Problem Solution Fit (PSF): Bridging Gaps for Sustainable Solutions

Understanding PSF:

1. Definition:

- Problem Solution Fit (PSF) is a critical phase in the startup journey where the focus shifts from understanding customer problems to crafting effective solutions. It involves aligning the identified problems with well-designed solutions that resonate with the target audience.

2. Significance:

- Achieving PSF is a pivotal milestone as it ensures that the proposed solutions directly address the pain points of the customers. This alignment increases the likelihood of customer acceptance, satisfaction, and, ultimately, the success of the startup.

Significance of Problem Solution Fit (PSF) in the Startup Journey

1. Validation of Business Concept:

   PSF serves as a litmus test for the viability of a startup's business concept. By aligning proposed solutions with identified problems, startups gain validation that there is a tangible need in the market for what they intend to offer. This validation is crucial for building investor confidence and attracting necessary funding.

2. Market Relevance:

Achieving PSF ensures that a startup's offerings are not just theoretically sound but also practically relevant in the market. It indicates that the solutions resonate with the target audience and have the potential for widespread adoption. This market relevance is a key factor in the long-term success and sustainability of a startup.

3. Customer-Centric Approach:

PSF enforces a customer-centric approach in product or service development. By actively involving potential customers in Solution Interviews and Product Interviews, startups gain valuable insights into user preferences, pain points, and expectations. This customer feedback becomes the compass guiding further development efforts.

4. Risk Mitigation:

Before investing significant resources in full-scale product development, PSF allows startups to mitigate risks. Through the iterative process of creating prototypes, testing assumptions, and refining solutions based on customer feedback, startups can identify and address potential pitfalls early on. This risk mitigation is essential for preserving resources and maximizing efficiency.

5. Enhanced Market Entry Strategy:

Achieving PSF positions a startup for a more strategic and effective market entry. Armed with a validated solution, startups can confidently approach the market, knowing that they have a product or service that addresses genuine needs. This enhances the chances of successful market penetration and reduces the likelihood of failure.

6. Iterative Learning Culture:

   PSF instills an iterative learning culture within a startup. The continuous refinement process based on customer feedback fosters adaptability and resilience. Startups learn to embrace change and view challenges as opportunities for improvement. This culture of continuous learning contributes to the agility of the startup in a dynamic business landscape.

7. Foundation for Scalability:

   A successful PSF provides a solid foundation for scalability. Startups can confidently scale their operations, knowing that they have a validated solution and a deep understanding of their target market. This foundation supports the development of scalable business models and facilitates future growth.

8. Customer Acquisition and Retention:

   The customer-centric approach enforced by PSF not only aids in acquiring customers but also in retaining them. Solutions that effectively address customer problems are more likely to create satisfied and loyal customers. This, in turn, contributes to positive word-of-mouth, referrals, and long-term business success.

In essence, PSF marks a transformative phase in the startup journey, aligning entrepreneurial vision with market realities. Its significance lies not just in achieving a match between problems and solutions but in setting the stage for sustained growth, customer satisfaction, and market leadership.

Key Objectives of Problem Solution Fit (PSF):

1. Matching Problems and Solutions:

- The primary goal is to establish a clear and seamless connection between the identified problems and the proposed solutions. Solutions should directly address and alleviate the pain points faced by the target customer segment.

2. Prototype Development:

- PSF involves the creation of prototypes or minimum viable products (MVPs) that embody the proposed solutions. These prototypes act as tangible representations for testing and validation.

3. Customer Interaction and Validation:

- Startups engage in Solution Interviews and Product Interviews, actively involving potential customers in the testing phase. The objective is to validate assumptions, gather feedback, and ensure that the prototype effectively addresses the identified problems.

4. Refinement Based on Feedback:

- PSF acknowledges the iterative nature of solution development. The feedback obtained from customer interactions serves as valuable input for refining and enhancing the prototypes. This iterative process continues until a robust fit between the problem and the solution is achieved.

Key Objectives of Problem Solution Fit (PSF):

1. Matching Problems and Solutions: The Core of Problem Solution Fit (PSF)

The process of matching problems and solutions lies at the heart of achieving Problem Solution Fit (PSF) in the startup journey. This phase is pivotal, as it determines whether a startup's proposed solutions genuinely address the identified problems within a given market. Here's an in-depth exploration of the significance and intricacies of matching problems and solutions:

1.1 Identifying Core Problems:

- **Thorough Market Research:** Startups commence by conducting comprehensive market research to identify the core problems faced by their target audience. This involves understanding the pain points, challenges, and unmet needs that potential customers experience.
- **User Empathy:** The process extends beyond statistical analysis, incorporating a deep sense of empathy to truly understand the emotional and practical aspects of the problems. This empathetic understanding is crucial for crafting solutions that resonate with users on a profound level.

1.2 Crafting Effective Solutions:

- **Innovative Ideation:** Once problems are identified, startups engage in creative and innovative ideation sessions. The goal is to conceptualize solutions that not only solve the identified problems but also introduce novel approaches or improvements to existing solutions.
- **Prototyping:** Solutions are translated into prototypes or Minimum Viable Products (MVPs). These prototypes act as tangible representations of the proposed solutions, allowing startups to test their feasibility and functionality in a real-world context.

1.3 Iterative Refinement:

- **Feedback-Driven Refinement:** The matching process involves iterative refinement based on feedback obtained from potential customers. This iterative approach ensures that the solutions evolve organically, addressing any shortcomings and enhancing their alignment with the identified problems.
- **Agile Development:** Startups embrace agile development methodologies, acknowledging that the matching of problems and solutions is an ongoing, adaptive process. Each iteration brings the solution closer to optimal alignment with customer expectations.

1.4 Testing Assumptions:

- **Assumption Validation:** The matching process involves rigorous validation of assumptions. Startups critically assess whether their assumptions about the nature of the problems and the effectiveness of their solutions hold true in the real-world context.
- **Real-Time Testing:** Solutions are subjected to real-time testing through Solution Interviews and Product Interviews with potential customers. This dynamic interaction allows startups to gather insights, validate assumptions, and ensure that the proposed solutions resonate with the intended users.

1.5 Creating Value for Users:

- **User-Centric Focus:** The ultimate goal of matching problems and solutions is to create tangible value for users. Solutions should not merely address problems on a surface level but should provide meaningful and lasting value that significantly improves the lives or experiences of the users.
- **Alignment with User Goals:** Solutions that align closely with the goals, preferences, and behaviors of the target audience are more likely to achieve PSF. This requires a deep understanding of user personas and tailoring solutions to fit seamlessly into their lives.

1.6 Foundation for Market Entry:

- **Strategic Market Approach:** Achieving a strong match between problems and solutions provides a solid foundation for entering the market strategically. Startups can confidently position themselves, knowing that they offer solutions that directly meet the needs of their target customers.
- **Reduced Market Risk:** By meticulously matching problems with effective solutions, startups reduce the inherent risk associated with market entry. This reduction in risk enhances the chances of successful market penetration and acceptance.

In essence, the process of matching problems and solutions is a dynamic, multi-faceted journey that requires a blend of analytical rigor, creative ideation, and a deep understanding of user needs. It forms the crux of PSF, setting the stage for a successful and sustainable startup venture.

2. Prototype Development in Problem Solution Fit (PSF): Transforming Concepts into Tangible Solutions

2.1 Importance of Prototype Development:

In the journey towards Problem Solution Fit (PSF), prototype development serves as a crucial bridge between conceptualization and real-world validation. Prototypes, or Minimum Viable Products (MVPs), are tangible representations of the proposed solutions that allow startups to test assumptions, gather feedback, and refine their ideas. Let's delve deeper into the significance and intricacies of prototype development:

2.2 Purpose of Prototypes:

2.2.1 Testing Feasibility:

- Prototypes provide a hands-on means of testing the technical feasibility of a solution. They allow startups to assess whether the proposed concepts can be translated into a functional and viable product or service.

2.2.2 Gathering User Feedback:

- By putting prototypes in the hands of potential users, startups can gather invaluable feedback. This user-centric approach ensures that the end product aligns with user expectations and effectively addresses their pain points.

2.2.3 Iterative Refinement:

- Prototypes support an iterative refinement process. Startups can make incremental changes based on feedback, enhancing the prototype with each iteration. This agile development approach is fundamental in achieving a robust Problem Solution Fit.

2.3 Steps in Prototype Development:

2.3.1 Conceptualization:

- The process begins with the conceptualization of the solution. Startups translate their ideas into a tangible form, outlining the key features and functionalities that the prototype will embody.

2.3.2 MVP Definition:

- Define the Minimum Viable Product (MVP) - the simplest version of the solution that includes the core features necessary for testing. The MVP approach allows startups to focus on essential elements while avoiding unnecessary complexity.

2.3.3 Design and Build:

- The design and build phase involve creating the physical or digital representation of the prototype. This can range from wireframes and sketches to functional models, depending on the nature of the solution.

2.3.4 Functional Testing:

- Conduct functional testing to ensure that the prototype operates as intended. This phase helps identify any technical challenges or shortcomings in the initial design, allowing for necessary adjustments.

2.3.5 User Testing:

- Introduce the prototype to a select group of users for hands-on testing. This step is crucial for gathering qualitative feedback on the user experience, identifying usability issues, and gauging overall user satisfaction.

2.4 Benefits of Prototype Development:

2.4.1 Risk Mitigation:

- Prototypes allow startups to identify and address potential risks early in the development process. This proactive approach minimizes the likelihood of investing resources in a solution that may not meet market expectations.

2.4.2 Real-World Validation:

- The tangible nature of prototypes enables real-world validation. Users can interact with the solution, providing insights that go beyond theoretical assessments. This real-world validation is instrumental in achieving PSF.

2.4.3 Cost-Effective Iteration:

- Iterative refinement based on prototype testing is a cost-effective way to improve the solution. Startups can make adjustments without committing extensive resources to full-scale development, saving time and budget.

2.5 Challenges and Considerations:

2.5.1 Balancing Complexity:

- Striking the right balance between showcasing key features and avoiding unnecessary complexity is a challenge in prototype development. Startups must focus on what is essential for testing without overloading the prototype.

2.5.2 Managing Expectations:

- Clearly communicate to stakeholders that the prototype is a work in progress. Managing expectations ensures that feedback is constructive and aligned with the iterative nature of the development process.

2.6 Iterative Nature of Prototype Development:

- Prototyping is inherently iterative. Each round of testing and feedback informs subsequent iterations, gradually refining the solution. This iterative approach aligns with the overall philosophy of continuous learning and improvement in the startup journey.

2.7 Outcome:

- Successful prototype development leads to a tangible representation of the solution that is ready for extensive testing, refinement, and eventual market entry. It marks a critical step toward achieving PSF, setting the stage for further validation and growth in the startup's lifecycle.

3. Customer Interaction and Validation in Problem Solution Fit (PSF): Enabling Real-World Feedback

3.1 The Significance of Customer Interaction:

Engaging with potential customers is a pivotal aspect of achieving Problem Solution Fit (PSF). It involves conducting Solution Interviews and Product Interviews, wherein startups actively involve their target audience in the testing and validation phase. This customer-centric approach aims to validate assumptions, gather valuable feedback, and ensure that the prototype aligns with the identified problems.

3.2 Types of Customer Interaction:

3.2.1 Solution Interviews:

- Objective: The primary goal of Solution Interviews is to understand the customer's perspective on the identified problems and the proposed solutions.
- Process: During Solution Interviews, startups present the problem scenario and introduce their prototype as a potential solution. They seek feedback on the relevance, usability, and effectiveness of the solution in addressing the identified problems.

3.2.2 Product Interviews:

- **Objective:** Product Interviews focus on gathering insights into the user experience and satisfaction with the developed prototype or Minimum Viable Product (MVP).
- **Process:** Users interact directly with the prototype, providing feedback on its functionality, user interface, and overall usability. This interaction helps startups refine the prototype based on real-world user experiences.

3.3 Validation and Feedback Gathering:

3.3.1 Assumption Validation:

- Startups use customer interaction as a means of validating assumptions made during the conceptualization and prototype development stages. Customer feedback provides a reality check, confirming or challenging the startup's initial hypotheses.

3.3.2 Gathering In-Depth Feedback:

- Through Solution and Product Interviews, startups go beyond surface-level feedback. They delve into the intricacies of user preferences, pain points, and expectations. This in-depth feedback is instrumental in refining the prototype to better meet customer needs.

3.4 Ensuring Alignment with Identified Problems:

3.4.1 Aligning with User Needs:

- Customer interaction ensures that the prototype aligns seamlessly with the identified problems. By directly involving users in the testing phase, startups gain insights into whether the proposed solution resonates with the target audience and fulfills their needs.

3.4.2 Real-World Context:

- The dynamic nature of Solution and Product Interviews places the prototype in a real-world context. This context is vital for understanding how users would interact with the solution in their day-to-day lives, providing a more accurate representation of its effectiveness.

3.5 Iterative Refinement Based on Feedback:

3.5.1 Agile Development Approach:

- The feedback obtained from customer interaction informs an agile development approach. Startups embrace an iterative refinement process, making adjustments to the prototype based on real-world user experiences and preferences.

3.5.2 Continuous Improvement:

- The iterative nature of customer interaction emphasizes continuous improvement. Each round of feedback contributes to the evolution of the prototype, enhancing its capabilities and addressing any shortcomings identified during the testing phase.

3.6 Building User-Centric Solutions:

3.6.1 User Empathy and Understanding:

- Customer interaction fosters a sense of user empathy and understanding. Startups gain a deeper appreciation for the perspectives and needs of their target audience, enabling them to build solutions that truly resonate with users.

3.6.2 Customer-Centric Decision Making:

- The insights gained from Solution and Product Interviews empower startups to make customer-centric decisions. This customer-driven approach ensures that the final solution is not only technically sound but aligns seamlessly with user expectations.

3.7 Outcome:

- Successful customer interaction and validation result in a prototype that has been thoroughly tested, refined, and validated by the target audience. This outcome positions the startup for the next phase in the journey — transitioning from Problem Solution Fit to broader market entry with a validated solution.

4. Refinement Based on Feedback in Problem Solution Fit (PSF): Iterative Evolution Towards Excellence

4.1 Embracing the Iterative Nature:

Problem Solution Fit (PSF) recognizes that the journey from problem identification to a fully realized solution is inherently iterative. The process involves continuous refinement based on the feedback obtained from customer interactions. This iterative approach ensures that the solution evolves, adapts, and aligns more closely with the identified problems as it progresses.

4.2 Feedback as Catalyst for Improvement:

4.2.1 Catalyst for Iterative Improvement:

- The feedback received from Solution Interviews and Product Interviews acts as a catalyst for iterative improvement. Each piece of feedback serves as a valuable input for making

enhancements and addressing any discrepancies between user expectations and the prototype's performance.

4.2.2 Agile Development Mindset:

- Startups adopt an agile development mindset, acknowledging that the initial prototype is not the final product. Instead, it is a dynamic work in progress that undergoes continuous refinement based on real-world interactions and user insights.

4.3 Key Components of Refinement:

4.3.1 Functional Enhancements:

- Startups focus on functional enhancements, addressing any technical limitations or deficiencies identified during the testing phase. This may involve improving features, optimizing performance, or adding functionalities to better align with user needs.

4.3.2 User Interface (UI) and User Experience (UX):

- Refinement extends to the user interface (UI) and user experience (UX). Feedback on the visual aspects, ease of use, and overall interaction with the prototype guides adjustments to create a more intuitive and user-friendly solution.

4.4 Continuous Learning and Adaptation:

4.4.1 Learning from Feedback:

- Each round of feedback contributes to continuous learning. Startups assimilate insights gained from customer interactions, identifying areas where the solution can be adapted and improved to better suit the target audience.

4.4.2 Adapting to Market Dynamics:

- The iterative refinement process enables startups to adapt to market dynamics. As they receive feedback about changing customer preferences or emerging trends, startups can pivot and refine their solution to stay relevant and competitive.

4.5 Achieving a Robust Fit:

4.5.1 Gradual Convergence with Problem Solution Fit:

- The refinement process is a journey towards achieving a robust fit between the problem and the solution. With each iteration, the solution converges more closely with the identified problems, ensuring a stronger alignment that resonates with the intended users.

4.5.2 Balancing Stakeholder Expectations:

- Managing stakeholder expectations is crucial during the refinement phase. Clear communication about the iterative nature of development helps stakeholders understand that the goal is not perfection from the start but a gradual evolution towards an optimal solution.

4.6 Validation Through Iteration:

4.6.1 Continuous Validation:

- The iterative refinement process serves as a mechanism for continuous validation. Startups validate their assumptions, hypotheses, and the overall viability of the solution at each stage, ensuring that the final product is built on a foundation of solid, real-world feedback.

4.6.2 Flexibility to Pivot:

- If necessary, startups remain flexible to pivot based on the feedback received. The iterative approach allows for strategic adjustments, ensuring that the startup can navigate changes in the market landscape or unexpected challenges.

4.7 Outcome:

- The outcome of the iterative refinement based on feedback is a solution that has undergone thorough testing, learning, and adaptation. This solution is well-positioned for the next phase of the startup journey — transitioning from Problem Solution Fit to broader market entry with a refined, validated, and user-centric offering.

Example of Refinement Based on Feedback in Problem Solution Fit:

Let's consider a startup named "HealthHub" that is developing a mobile app to address the problem of irregular medication adherence among patients with chronic illnesses.

Initial Prototype:

- HealthHub initially develops a prototype of the mobile app that includes features such as medication reminders, a medication tracking log, and educational content about the importance of consistent medication intake.

Solution Interviews:

- During Solution Interviews with potential users — individuals with chronic illnesses — HealthHub receives feedback that while the reminder feature is appreciated, users find the user interface somewhat complex. Some users express a desire for personalized educational content based on their specific health conditions.

Iterative Refinement:

1. Functional Enhancements:
    - HealthHub takes the feedback into consideration and enhances the app's functionality. They introduce a simpler user interface with a more intuitive navigation system, making it easier for users to set medication reminders and track their adherence.
2. Educational Content Personalization:
    - Based on the request for personalized educational content, HealthHub refines the app to include a feature that tailors educational materials to each user's specific health condition, ensuring relevance and engagement.

3. User Interface and Experience Improvements:
    - Further refinements are made to improve the overall user experience. HealthHub conducts additional Product Interviews to gather feedback on the revamped user interface, incorporating suggestions for visual enhancements and smoother interactions.

Continuous Validation:

- HealthHub continuously validates these refinements through ongoing Solution and Product Interviews. The feedback loop helps them identify any lingering issues or areas for improvement.

Outcome:

- The iterative refinement process leads to a mobile app that not only effectively addresses the identified problem of medication non-adherence but also offers a user-friendly experience with personalized educational content. By embracing feedback and iterating on their initial prototype, HealthHub achieves a robust Problem Solution Fit, setting the stage for a successful market entry with a solution that meets the needs and preferences of their target users.

AM Session: Problem Solution Fit (PSF) - Week 4

1. Introduction of Must-to-Have and Nice-to-Have

Objective:

The objective of this session is to impart a clear understanding of the importance of prioritizing features within a prototype into "Must-to-Have" and "Nice-to-Have." Startups will learn to discern functionalities critical for problem-solving from those that add value but are not fundamental. This prioritization is vital for resource allocation, focusing efforts on core problem-solving aspects.

Activities:

i. Group Discussion on Features:
   - Start the session with a group discussion where startups identify and list features of their prototypes.
   - Encourage open dialogue on various functionalities they envision in their solutions.

ii. Prioritization Exercise:
   - Conduct an interactive exercise where startups categorize features into two main groups: "Must-to-Have" and "Nice-to-Have."
   - Emphasize that "Must-to-Have" features are essential for addressing the identified problems, while "Nice-to-Have" features provide additional value.

iii. Real-world Examples:
   - Share real-world examples of successful products that have effectively prioritized features. Illustrate how this strategic approach contributes to user satisfaction and market success.

iv. Discussion on Resource Allocation:

- Engage startups in a discussion about resource constraints and the need for efficient resource allocation.
- Highlight that prioritizing features enables startups to allocate resources more effectively, especially in the early stages of product development.

Outcomes:

- Prioritized Feature List:
  - Startups should leave with a clear list of features categorized as "Must-to-Have" and "Nice-to-Have" for their prototypes.
- Understanding of Resource Optimization:
  - Gain insights into how prioritization supports optimal resource allocation, ensuring that efforts are concentrated on solving core problems.
- Strategic Decision-Making:
  - Develop the ability to make strategic decisions about which features are crucial for the initial problem-solving phase and which can be considered for future enhancements.
- Alignment with Problem-Solution Fit:
  - Ensure that the prioritized features align with the identified problems and contribute directly to achieving a strong Problem-Solution Fit.

Facilitator Tips:

- Encourage Collaboration:
  - Foster collaborative discussions among startups to leverage diverse perspectives on feature prioritization.
- Relate to User Needs:
  - Emphasize that the prioritization should align with user needs and preferences identified during previous stages.

- Provide Guidance:
    - Guide startups in making informed decisions, considering both the immediate problem-solving goals and the long-term vision for their solutions.

Features List:

1. Must-to-Have:
    - User Authentication: Essential for personalized user accounts and data tracking.
    - Exercise Database: Core functionality for users to access various workout routines.
    - Progress Tracker: Vital for users to monitor their fitness journey over time.
2. Nice-to-Have:
    - Social Integration: Allowing users to share achievements on social media.
    - In-App Challenges: Adding an extra layer of gamification to enhance user engagement.
    - Nutrition Tips: Providing optional nutritional guidance for a holistic approach.

Example Explanation:

In this example, the startup recognizes that user authentication, the exercise database, and the progress tracker are fundamental to solving the core problem: helping users achieve their fitness goals. These features are categorized as "Must-to-Have."

On the other hand, social integration, in-app challenges, and nutrition tips, while valuable for enhancing the overall user experience, are considered "Nice-to-Have." These features can be developed in subsequent iterations based on user feedback and app performance.

By prioritizing features in this way, the startup ensures that the essential functionalities align with the primary goal of addressing users' fitness needs. This strategic approach helps allocate resources efficiently during the initial stages of app development. As the startup progresses and

gathers user feedback, they can then consider implementing additional features to further enrich the user experience.

Example 2:

AgriTech startup working on democratizing low-cost and equitable access to spices with a focus on nutritional impact:

Features List:

1. Must-to-Have:
    - Spice Catalog: A comprehensive catalog of essential spices, emphasizing those with high nutritional value.
    - User Registration and Profile: Necessary for personalized recommendations based on dietary preferences and nutritional needs.
    - Delivery Tracking: Core functionality to ensure users can track the delivery status of the spices they've ordered.
2. Nice-to-Have:
    - Recipe Suggestions: Providing users with recipes incorporating the spices they've purchased for a more engaging culinary experience.
    - Community Forum: Allowing users to share recipes, tips, and experiences with the spices, fostering a sense of community.
    - Subscription Service: Offering a subscription model for regular spice deliveries at a discounted rate.

Example Explanation:

In this scenario, the startup recognizes that a comprehensive spice catalog, user registration for personalized recommendations, and delivery tracking are fundamental to solving the core problem of providing low-cost and equitable access to nutritional spices. These features are categorized as "Must-to-Have."

On the other hand, features like recipe suggestions, a community forum, and a subscription service, while enhancing the overall user experience and community engagement, are considered "Nice-to-Have." These can be developed in subsequent phases based on user feedback and the startup's growth trajectory.

By prioritizing features in this manner, the AgriTech startup ensures that the essential functionalities align directly with the goal of democratizing access to nutritional spices. This strategic approach allows the startup to focus resources efficiently during the initial stages of their service while providing room for expansion and enrichment as they gather user insights and feedback.

2. Solution Interview:

Solution Interview: Validating Prototypes through User Interaction

Objective:

The primary objective of the Solution Interview session is to actively engage startups with potential users through simulated interviews. The focus is on validating whether the prioritized features within their prototypes effectively addresses the identified problems.

User Interaction:

1. Introduction to User-Centric Design:
    - Begin with a brief overview of the importance of user-centric design, emphasizing the significance of understanding and addressing user needs.
2. Simulating Real-world Scenarios:
    - Stress the importance of Solution Interviews as a means to simulate real-world scenarios. Encourage startups to envision their potential users' environments and challenges.
3. Active Engagement with Prototypes:
    - Instruct startups to actively engage potential users with their prototypes during Solution Interviews. This includes presenting key features, functionalities, and the overall user interface.

Validation of Solutions:

1. Aligning with Must-to-Have Features:
    - Emphasize the validation aspect, ensuring that the prototypes align with the prioritized "Must-to-Have" features. Discuss the critical nature of these features in addressing users' core problems.

2. Gathering Feedback on Nice-to-Have Features:
    - Acknowledge that Solution Interviews also provide an opportunity to gather feedback on "Nice-to-Have" features. Discuss the potential value of these features in enhancing the user experience.

Activities:

1. Mock Solution Interviews:
    - Conduct hands-on activities where startups simulate Solution Interviews. This may involve pairing startups to play the roles of both interviewers and users, allowing them to practice presenting their prototypes and collecting feedback.
2. Feedback Analysis:
    - After the mock interviews, facilitate a session for startups to analyze the feedback obtained. Encourage open discussions on the strengths, weaknesses, and areas for improvement identified during the interviews.

Best Practices:

1. Empathy and Active Listening:
    - Stress the importance of empathy and active listening during Solution Interviews. Remind startups to pay attention to user reactions, emotions, and verbal/non-verbal cues.
2. Iterative Approach:
    - Highlight the iterative nature of Solution Interviews. Startups should view feedback as valuable insights that can inform iterative refinements to their prototypes.

Outcome:

By the end of the Solution Interview session, startups are expected to have gained practical experience in presenting their prototypes, actively engaging with potential users, and collecting

meaningful feedback. The focus on validation ensures that the developed solutions align effectively with users' needs and expectations, laying a solid foundation for the subsequent stages of the business modeling journey.

Example:

Considering an example with a startup called "GreenHarvest," which focuses on providing sustainable gardening solutions for urban dwellers. The startup has developed a mobile app that assists users in planning, growing, and maintaining their urban gardens. The Must-to-Have features include a plant database, personalized gardening tips, and real-time weather updates.

Mock Solution Interview Scenario:

Participants:

- Startup Representative: The role played by a member of GreenHarvest.
- User: Another startup or team member acting as a potential user interested in urban gardening.

Scenario:

1. Introduction:
    - The startup representative introduces the GreenHarvest app and its core features to the user, emphasizing the plant database, personalized tips, and weather updates.
2. User Interaction:
    - The startup representative guides the user through the app, demonstrating how to search for plants, receive personalized tips based on their garden, and check real-time weather information.

3. Feedback Collection:
    - The user provides feedback on the usability, clarity of information, and overall experience. They express appreciation for the Must-to-Have features that directly address their needs.
4. Nice-to-Have Discussion:
    - The startup representative also discusses potential "Nice-to-Have" features like a community forum for users to share gardening experiences. The user shares their thoughts on the added value of such a feature.

Feedback Analysis:

- The startup representative notes positive feedback on the Must-to-Have features, indicating that users find them valuable and user-friendly.
- The discussion on "Nice-to-Have" features reveals that while the community forum is appreciated, users emphasize the importance of maintaining a simple and intuitive interface.

Learning Points:

- The startup realizes the strength of their core features in addressing user needs effectively.
- Insights from the Solution Interview inform the startup that users prioritize simplicity and functionality, guiding future iterations of the app.

By conducting Solution Interviews in this manner, GreenHarvest gains valuable insights that contribute to refining their prototype and ensuring alignment with user expectations.

Example 2:

Considering, an AgriTech startup named "RiceHarbor," which specializes in providing technological solutions for optimizing rice farming processes. The startup has developed a mobile application designed to assist rice farmers in managing their crops efficiently. The Must-to-Have features include real-time weather updates, pest and disease identification, and a crop management calendar.

Mock Solution Interview Scenario:

Participants:

- Startup Representative: A member of the RiceHarbor team.
- User: Another startup or team member acting as a rice farmer interested in utilizing technology for crop management.

Scenario:

1. Introduction:
    - The startup representative introduces the RiceHarbor app and highlights its core features, focusing on real-time weather updates, pest and disease identification, and the crop management calendar.
2. User Interaction:
    - The startup representative guides the user through the app, demonstrating how to access weather forecasts, identify potential pests or diseases through image recognition, and utilize the crop management calendar.
3. Feedback Collection:
    - The user provides feedback on the app's user interface, the accuracy of pest and disease identification, and the overall usefulness of real-time weather updates. They express how these features directly address their challenges in rice farming.

4. Nice-to-Have Discussion:
    - The startup representative discusses potential "Nice-to-Have" features, such as a community forum for farmers to share insights and best practices. The user shares their thoughts on the collaborative benefits of such a feature.

Feedback Analysis:

- The startup representative observes positive feedback on the Must-to-Have features, indicating that users find them practical and aligned with their needs in rice farming.
- The discussion on "Nice-to-Have" features reveals that while the community forum is appreciated, users emphasize the importance of timely and reliable information for essential features.

Learning Points:

- RiceHarbor recognizes the strength of their core features in addressing specific pain points for rice farmers.
- Insights from the Solution Interview guide the startup in refining the user interface and further enhancing the accuracy of features like pest and disease identification.

Through this Solution Interview, RiceHarbor gains valuable feedback that shapes their understanding of user priorities and informs iterative improvements to their AgriTech solution.

3. Development of Elevator Pitch: Crafting a Compelling Narrative

Objective:

The primary objective of the Development of Elevator Pitch session is to equip startups with the skills to succinctly communicate their solution's value proposition. This involves clear and concise articulation of the problem they are solving, the solution they are offering, and the unique value it brings to users.

Clear Communication:

1. **Understanding the Essence:**
    - Start with an exploration of the essence of an Elevator Pitch. Emphasize that it is a brief, persuasive speech designed to spark interest in a potential investor, partner, or customer within the time it takes to ride an elevator.
2. **Problem-Solution Alignment:**
    - Stress the importance of aligning the pitch with the identified problem and the prioritized features of the prototype. Each element of the pitch should contribute to solving a specific problem.

Pitch Refinement:

1. **Feedback Integration:**
    - Highlight that the pitch should be refined based on feedback from Solution Interviews. The language, emphasis, and clarity of the pitch should be shaped by the insights gained from engaging with potential users.
2. **Iterative Process:**
    - Emphasize that crafting an effective Elevator Pitch is an iterative process. Startups should be open to refining and adjusting their pitch based on ongoing feedback and real-world interactions.

Activities:

1. Pitch Crafting Workshop:
    - Conduct a workshop guiding startups on structuring an effective Elevator Pitch. Provide a template that includes key components such as the problem statement, solution overview, unique selling points, and a call to action.
2. Individual Pitch Practice:
    - Allow each startup time to practice delivering their Elevator Pitch individually. Encourage them to focus on clarity, brevity, and impactful storytelling.
3. Constructive Feedback:
    - Facilitate a session where startups provide constructive feedback to one another. This peer-to-peer exchange enhances the learning experience and helps startups refine their pitches collaboratively.

Best Practices:

1. Engage Emotionally:
    - Encourage startups to incorporate emotional engagement into their pitches. Connecting with the audience on a personal or emotional level can leave a lasting impression.
2. Tailor to the Audience:
    - Stress the importance of tailoring the pitch to the specific audience. Whether speaking to investors, customers, or partners, the pitch should resonate with the needs and interests of that particular group.

Outcome:

By the end of the session, startups are expected to have a clear understanding of the components of an effective Elevator Pitch and have practiced delivering their pitches. The iterative nature of

pitch refinement ensures that startups are well-prepared to communicate their solution's value proposition succinctly and persuasively in various business contexts.

Example 1:

Elevator Pitch for HealthHub:

Start:

- "Good [morning/afternoon/evening], my name is [Your Name], and I'm the co-founder of HealthHub."

Problem Statement:

- "Did you know that sedentary lifestyles contribute to a range of health issues, from obesity to cardiovascular diseases? In our fast-paced world, it's challenging for individuals to prioritize their health amidst busy schedules."

Solution Overview:

- "At HealthHub, we've developed a mobile app that seamlessly integrates into your daily routine, providing personalized health recommendations, quick workout routines, and nutritional insights tailored to your lifestyle."

Unique Selling Points:

- "What sets us apart is our AI-driven platform that learns from your habits, constantly adapting to provide realistic and achievable health goals. We're not just another fitness app; we're your personal health companion."

Call to Action:

- "Imagine a future where maintaining a healthy lifestyle is effortless. Join us in reshaping the way we approach health. Let's embark on this journey together."

End:

- "Thank you for your time. I'd love to discuss how HealthHub can contribute to a healthier and happier community. Are you available for a more in-depth conversation?"

In this example, the Elevator Pitch follows a structured format, starting with a brief introduction, addressing a clear problem statement, presenting the solution, highlighting unique selling points, and concluding with a compelling call to action. This pitch is crafted to be concise, engaging, and tailored to capture the interest of various audiences, including potential investors, partners, or users.

Example 2:

An Elevator Pitch for an AgriTech startup called "EcoHerd" that focuses on providing end-to-end automated animal husbandry solutions in Africa:

Elevator Pitch for EcoHerd:

Start:

- "Hello, I'm [Your Name], co-founder of EcoHerd, where we're revolutionizing animal husbandry in Africa."

Problem Statement:

- "In many African regions, traditional animal farming methods face challenges like inefficient resource utilization, disease outbreaks, and labor-intensive processes. This hinders farmers from realizing the full potential of their livestock."

Solution Overview:

- "At EcoHerd, we've developed a comprehensive end-to-end automated animal husbandry system. Our platform combines IoT technology, data analytics, and automation to streamline farming operations, ensuring healthier livestock and maximizing productivity."

Unique Selling Points:

- "What sets us apart is our tailored approach for African farmers. Our system is designed to be easily adaptable, considering local contexts and the diverse needs of livestock farmers. From smart feeding solutions to real-time health monitoring, we've got it covered."

Call to Action:

- "Imagine a future where farmers can focus on the well-being of their animals while our technology takes care of the rest. We're actively seeking partnerships to bring EcoHerd to more farms across Africa. Interested in joining us on this transformative journey?"

End:

- "Thank you for your time. I'd love to share more about how EcoHerd can elevate animal husbandry practices in Africa. Can we schedule a deeper conversation at your convenience?"

This Elevator Pitch for EcoHerd encapsulates the core elements, providing a brief introduction, addressing the problem statement, presenting the unique solution, and concluding with a call to action. The language is tailored to resonate with the challenges and opportunities specific to the African agricultural landscape, making it compelling for potential investors, partners, or collaborators.

Product Interview: In-Depth User Feedback for Prototype Refinement

Objective:

The primary objective of the Product Interview session is to delve into more detailed feedback from potential users. Startups focus on specific features of their prototypes, gathering nuanced insights that go beyond general impressions. The goal is to refine the prototypes iteratively based on this detailed user feedback.

Detailed Feedback:

1. **Feature-Specific Exploration:**
    - Start by emphasizing the importance of exploring specific features in detail. Each startup should identify key features within their prototype and tailor interviews to gather feedback on these features individually.
2. **User Preferences and Pain Points:**
    - Encourage startups to go beyond general usability and seek to understand user preferences and pain points associated with each feature. This approach allows for targeted refinement strategies.

Refinement Strategies:

1. **Identifying Improvement Opportunities:**
    - Guide startups in identifying opportunities for improvement within specific features. This could involve usability enhancements, adjusting functionalities, or even introducing new elements based on user feedback.
2. **Prioritizing Refinements:**
    - Stress the need for startups to prioritize refinements based on the impact on user experience and the alignment with the identified problems. Not all feedback may necessitate immediate changes, and strategic prioritization is key.

Activities:

1. Feature-Specific Interviews:
    - Startups conduct interviews with potential users, focusing on specific features within their prototypes. This could involve scenarios where users actively interact with these features, providing real-time feedback.
2. Iterative Refinement:
    - Encourage an iterative approach to refinement. Startups should not view the Product Interview as a one-time event but rather as part of an ongoing process. Refinements based on feedback should be implemented iteratively.

Best Practices:

1. Open-Ended Questions:
    - Recommend the use of open-ended questions during interviews to allow users to express their thoughts freely. This facilitates the gathering of rich, qualitative insights.
2. User-Centric Approach:
    - Reinforce the importance of adopting a user-centric approach. The goal is not only to identify issues but also to understand the underlying motivations, preferences, and expectations of users.

Outcome:

By the end of the Product Interview session, startups are expected to have gathered detailed feedback on specific features, identified improvement opportunities, and formulated a plan for iterative refinement. This approach ensures that the prototypes evolve based on a deep understanding of user needs and preferences, moving closer to achieving a robust Problem Solution Fit.

Example 1:

"GreenGroTech," which has developed a smart irrigation system as part of an end-to-end solution for precision farming.

Product Interview Scenario for GreenGroTech:

Objective:

- To gather detailed feedback on the "Smart Irrigation" feature of GreenGroTech's prototype.

Interview Setting:

- A simulated farm environment with potential users, which could include farmers and agricultural experts.

Process:

1. Introduction:
    - The startup representative introduces the Smart Irrigation feature, emphasizing its capabilities in optimizing water usage for crops.
2. Feature Exploration:
    - Users are guided to interact with the Smart Irrigation feature in real-time. They can adjust settings, monitor water distribution, and observe how the system responds to different conditions.
3. Open-Ended Questions:
    - Users are asked open-ended questions to understand their experience:
        - "How intuitive was it to set up the irrigation system?"
        - "What additional information or controls would you find valuable?"

- "Can you share your thoughts on the system's responsiveness to changing weather conditions?"

4. User Preferences and Pain Points:
    - The discussion delves into user preferences, such as preferred control interfaces and desired functionalities. Pain points related to usability or any perceived limitations are explored.
5. Feedback Analysis:
    - The startup representative collects and analyzes feedback, looking for recurring themes or specific suggestions for improvement.
6. Iterative Refinement:
    - Based on the detailed feedback, GreenGroTech initiates an iterative refinement process. This could involve tweaking user interfaces, enhancing system responsiveness, or incorporating additional features suggested by users.

Outcome:

- GreenGroTech gains insights into specific aspects of the Smart Irrigation feature, understanding user preferences, pain points, and improvement opportunities. The feedback collected serves as a valuable guide for refining the prototype in subsequent iterations.

This Product Interview example demonstrates how startups can focus on specific features, engaging users in a detailed exploration to gather nuanced insights for iterative refinement.

Example 2:

A Product Interview scenario example for a startup named "PharmaConnect" that focuses on building a demand and supply matchmaking platform for pharmaceutical products in Africa.

Product Interview Scenario for PharmaConnect:

Objective:

- To gather detailed feedback on the "Matchmaking Algorithm" feature of PharmaConnect's prototype.

Interview Setting:

- Simulated interactions with potential users, including pharmacists, pharmaceutical distributors, and healthcare professionals in an African context.

Process:

1. Introduction:
    - The startup representative introduces the Matchmaking Algorithm feature, highlighting its role in connecting pharmaceutical product suppliers with demand from healthcare providers.
2. Feature Exploration:
    - Users are provided access to the platform's dashboard, where they can input their preferences, view suggested matches, and explore additional functionalities related to the Matchmaking Algorithm.

3. Open-Ended Questions:
    - Users are asked open-ended questions to delve into their experience:
        - "How intuitive was it to set your preferences for the matchmaking process?"
        - "Can you share your thoughts on the relevance of the suggested matches to your needs?"
        - "Are there specific features or filters you would like to see implemented?"
4. User Preferences and Pain Points:
    - The discussion explores user preferences, such as preferred communication methods for supplier interactions, the accuracy of product matching, and any pain points encountered during the matchmaking process.
5. Feedback Analysis:
    - The startup representative collects and analyzes feedback, paying attention to recurring themes and specific suggestions for improvement in the Matchmaking Algorithm.
6. Iterative Refinement:
    - PharmaConnect initiates an iterative refinement process based on the detailed feedback. This could involve adjusting the algorithm parameters, enhancing user interface elements, or incorporating additional filters suggested by users.

Outcome:

- PharmaConnect gains insights into the specific aspects of the Matchmaking Algorithm feature, understanding user preferences, pain points, and improvement opportunities. The feedback collected serves as a valuable guide for refining the prototype in subsequent iterations, ensuring the platform meets the diverse needs of pharmaceutical stakeholders in the African market.

This Product Interview example illustrates how PharmaConnect can gather detailed feedback on a specific feature, fostering an iterative refinement process to enhance the overall user experience of their demand and supply matchmaking platform.

Overall AM Activities:

- Interactive Group Work: Engage startups in group discussions, collaborative exercises, and hands-on activities.
- Feedback Sessions: Create an environment for open discussions and feedback sharing among participating startups.
- Incubation Manager Guidance: Ensure incubation managers actively guide and support startups through the activities.

Outcome:

By the end of the morning session, startups are expected to have a clearer understanding of essential features, validated solutions through interviews, refined pitches, and a roadmap for further prototype enhancements. The emphasis is on practical application and learning through direct interaction with potential users.

PM Session: Transition to Implementation

Assumption of Must-Have Function:

Objective:

- To assess the assumptions made about the must-have functions in the prototype and validate their necessity.

Process:

1. Assumption Review:
    - Startups revisit the assumptions made regarding must-have functions during the earlier stages. These are the core features identified as essential for solving the identified problems.
2. Validation Criteria:
    - Establish criteria for validating the assumptions. This could involve user testing, feedback analysis, or other metrics that directly assess the functionality's impact on problem-solving.
3. Testing and Validation:
    - Startups conduct tests or gather user feedback specifically focused on must-have functions. The goal is to confirm whether these assumptions hold true in real-world scenarios.
4. Adjustment or Confirmation:
    - Based on the testing outcomes, startups either adjust their assumptions and refine the must-have functions or confirm that these features are indeed essential as initially identified.

Development of Elevator Pitch:

Objective:

- To refine and strengthen the Elevator Pitch based on insights gained from Product Interviews and the detailed feedback received.

Process:

1. Pitch Review:
    - Startups review their initial Elevator Pitches, considering the feedback received during Product Interviews. Identify areas for improvement or adjustment.
2. Refinement Workshop:
    - Conduct a workshop on refining Elevator Pitches. Provide insights into effective storytelling, emphasizing the must-have functions and unique selling points validated during the prototype testing phase.
3. Individual Pitch Crafting:
    - Startups individually work on refining their Elevator Pitches. Encourage them to integrate specific feedback received from users and focus on clear communication of the must-have functions.
4. Peer Feedback Session:
    - Facilitate a session where startups share their refined Elevator Pitches with peers. Encourage constructive feedback and suggestions for further improvement.

Development of “Questions” to Potential Customers:

Objective:

- To equip startups with a set of targeted questions that can elicit valuable insights from potential customers during interactions.

Process:

1. Understanding Customer Needs:
    - Startups identify key areas they want to explore with potential customers. These could include preferences, pain points, and expectations related to the must-have functions.
2. Question Formulation:
    - Based on the identified areas, startups develop a set of open-ended and targeted questions. These questions should aim to uncover nuanced insights that go beyond surface-level feedback.
3. Role-Playing Session:
    - Startups engage in role-playing scenarios where they practice asking these questions. This helps them refine their approach and ensures the questions are framed in a way that encourages candid responses.
4. Feedback and Adjustment:
    - Facilitate a feedback session where startups can receive input on their formulated questions. Encourage adjustments based on the feedback to ensure the questions are effective in extracting meaningful information.

Outcome:

By the end of the PM session, startups should have validated assumptions related to must-have functions, refined their Elevator Pitches, and developed a set of targeted questions for potential customer interactions. These components are crucial as startups move from the prototype phase to the implementation and customer validation phase.

Problem-Solution Fit vs Product-Market Fit

Problem-Solution Fit and Product-Market Fit are often a point of confusion for early founders. On the surface, these two definitions are virtually identical = find a valuable product in a big enough market. However, the solutions in the Problem-Solution Fit stage are often different to those in the Product-Market Fit stage.

This is because Problem-Solution Fit focuses on a tiny group of early-evangelists who are comfortable with missing features, as long as it solves their core problem. (Bad UX, no onboarding, and manual work-arounds are part of the fun!)

Whilst solutions during the Product-Market Fit stage focus on selling your product to a larger mainstream market. These solutions need to have a more robust set of features. (Reliability, Security, Reporting, and a decent UX is a common ask for these customers).

Problem-Solution Fit Example

A great example I've experienced recently was assessing a content moderation tool for the company I currently work for.

My company is on a mission to create the most trusted destination on the internet. We want to moderate all content hosted on our platform to protect visitors.

Our team scoured the internet to find a tool that fit our requirements. After weeks of searching, we came across a startup that friends in the industry highly recommended. Their product was easy to use, had an AI engine that makes our lives easier, and had a few customers using it - a great demonstration of Problem-Solution Fit!

However, due to the size of our remote-first workforce, information security was a key need for us. We require features like Single-Sign-On and specific security certifications that the startup didn't offer.

As a result, we ended up choosing another tool with fewer features but focused on a more robust set of features on information security. When we broke the news to the founders, they were disappointed but understood their product wasn't right for us.

We departed amicably, and the startup will reach out again when they have the security features we require.

Now… could the startup have built the security features that we need? Absolutely.

But more importantly, was my company the right customer for them? Probably not.

They were focused on smaller startups with different sets of needs. To change their product just for my company would've meant overheads that were not worth it for them.

The moral of the story is that "everyone" is not your customer. When you're trying to find Problem-Solution Fit, your customers must be your "early-evangelists"—these are customers that would scream and shout about your product.

Once you've found a strong base of "early-evangelists" you can move into a bigger market to find Product-Market Fit.

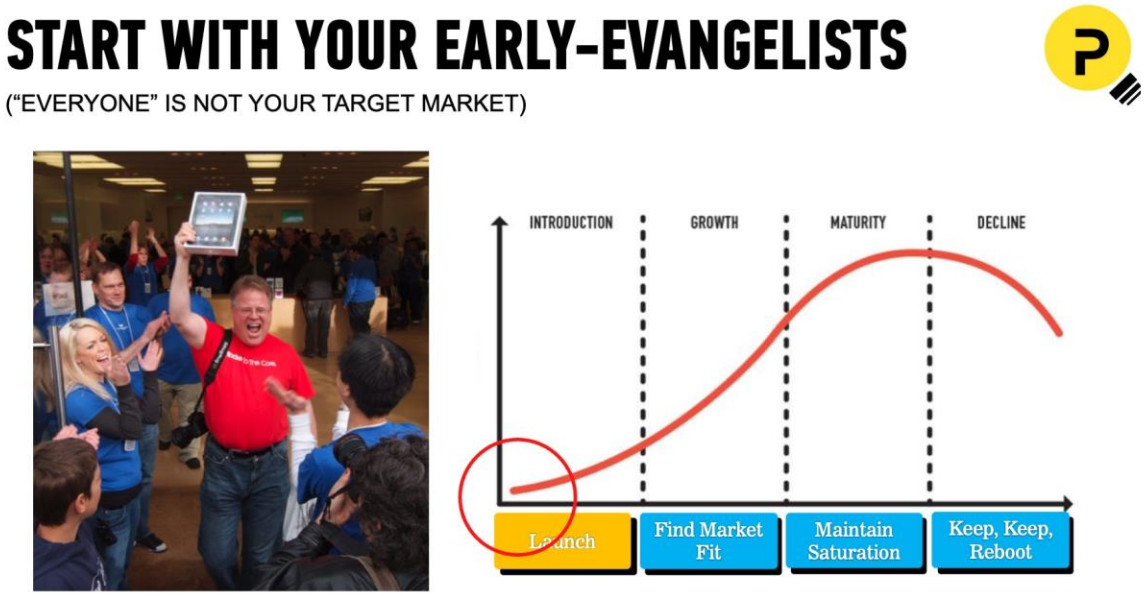
Here is a quick comparison between your PSF customers vs your PMF customers:

Parameter	Problem-Solution Fit Customers	Problem-Market Fit Customers
Interest	Shows high interest in the seed or pre-seed stage when finding solutions to the problem.	Shows high interest when you have a few demonstrated successes across a broad set of problems.
Target Customer	Early evangelists are willing and eager to take a risk in using your product	Product market fit customers are more risk-averse but still keen to try your product. They may or may not be the end users.
Validation	This phase is about validating product ideas with a few small sets of early-evangelists	This phase concerns validating the market and expanding your customer base to a larger market.
Value Vs. Price	The focus is solely on building value. Pricing is utilised to learn about customer needs. (Often not focused on profit at this stage)	The focus is on setting a competitive price to help you maximise growth. (Often focused on acquisition, retention, and referral)
Customer Development	Focus on a few customers by solving their deeply felt problems.	Focus on a larger set of customer problems with multiple product strategies.

Selling to your early evangelists

Your early-evangelists are the catalysts of your product. These customers are willing to risk buying an unfinished product to gain an early competitive advantage or purely for bragging rights. (P.s. Bragging rights are never long-term strategies but it can get you off the ground).

- In the B2C space, they might be your techy friends who are always trying out new things.
- In the B2B space, this could be an executive testing a new business opportunity or a head of a function trying to solve a burning problem.



The ultimate test for early-evangelists is their willingness to pay for your product. When presenting your product idea to your 'evangelists'— don't be afraid to ask for a sale. If there are signs of hesitation (from both sides), you are not solving a problem deep enough. Go deeper and ask: "What would make you pay a small deposit for this product?"

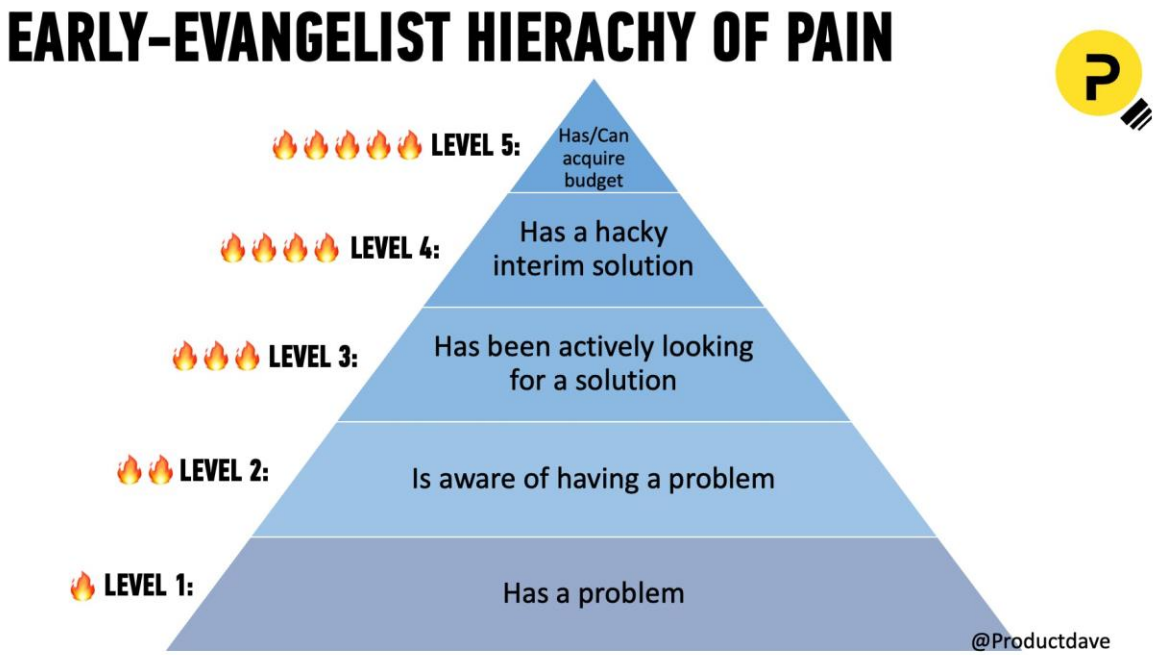
Early-evangelist hierarchy of needs

Like a product, the early-evangelist goes through 5 stages of pain. The ideal customer is someone who is at the highest level and has the budget ready to buy something to solve their problem.

These are the five stages of pain your early-evangelists goes through:

- Pain Level 1: They have a problem or a need
- Pain Level 2: They understand they have a problem (or you'll need to help them discover a problem)
- Pain Level 3: They are actively searching for a solution to the problem, and have a timeline for finding it

- Pain Level 4: They problem is so painful that have cobbled together an interim solution
- Pain Level 5: They have committed budget or can quickly acquire budget to purchase a solution



The closer to the top of the pyramid, the more likely they will buy your product, and even spread your vision for you.

So, where do these early evangelists hang out?

Let's think about the last time you were in a market to purchase a property or looking for a place to rent. Where did you go?

You'd probably start with a google search on a suburb or use a real estate website. You might ask your friends and family or even walk into your local real estate agency.

If you're looking for your early-evangelists, they won't come to you directly—you need to go where they are looking. Cold-calling rarely works because it's hard to identify your customer's pain level in one single call. Better to invest your luck in one of the five strategies below.

These are 5 Key Strategies to Find Early-Evangelists:

1. Leverage your network

Ask your existing friends, family, colleagues, investors or even LinkedIn to connect with people experiencing the problem you're trying to solve. Offer to advise, free work, kudos, or anything your network finds valuable in return.

Practice give-give-get. Always give more value to your network than you get from them, and people are willing to help you.

2. Find the virtual "Gathering places"

These are online or offline gatherings where your early evangelists go to find a solution to solve their problems. Places like forums, social media groups, Twitter, slack groups or even shared offices.

Be active and generate conversations around the problem you're trying to solve, and of course, give-give-get.

3. Events

Attend conferences, seminars, trade shows and meetups where your early-evangelists go for pleasure or work. Or, if there are no events for your problem space, create one yourself and use your network and the 'gathering place' above to spread the word.

You'll make a conversation topic that shows you deeply care about helping your customers solve their problems.

Pro Tip

Find a way to access the attendees' list so you can reach out beforehand and set up 1:1 time with potential prospects. The networking starts BEFORE the event begins.

4. Paid advertising

In some instances, paid advertising might be a great way to get your startup in front of people. I'm broadly using the term 'paid advertising' to involve more than just google ads. Think about paid sponsorships, paid ads in a newsletter, paid influencers, or anything that you can use the money to acquire attention. Make sure you have a clear "what's-in-it-for-me" call to action to turn your prospects into conversations.

5. Agents, partners or consultants

For more complex industries, you might have to go through agents, consultants or partners that already have an established footing with your customers.

A typical example is breaking into the enterprise sector would require you to go through a few 'approved' vendors for you to have a 'ticket to play'. You can sell your product through existing vendors/consultants or build apps through a marketplace like Slack Apps or Salesforce Marketplace. Partnerships are great for getting your foot in the door and finding early customers.

Play long-term games with long-term people. Grow with your early evangelists, and they'll spread your product for you.

Finally, develop the product for the Few, not the Many

The sweet spot for startup success lies in the intersection of a meaningful problem and a right solution. In a startup, the first product is not designed to satisfy a mainstream customer, and that's okay. No startup can afford to build a product that suits every customer and be successful at it.

All great products start with finding a Problem-Solution Fit. Be prepared to pivot, persevere and even kill off bad ideas. Always remember:

- You're creating a product for your customers, not your ego.
- Find your early-evangelists to pay for the problem you solve, and solve it well.
- As a founder, time is your most valuable resource, not money. Do everything to preserve it.